

Korea Energy & Battery

2026 tax reform plan formalizes AMPC for made-in-Korea batteries, wind, AI robots and chips

According to [local media](#), the Korean government has proposed an “IRA-style” domestic production tax credit for batteries, solar and core materials. The policy has been discussed since July 2025 ([note](#)), but this is the first release of comprehensive details. The plan is scheduled to be submitted to the regular National Assembly session on 3 September 2026. If passed, it would take effect from 1 January 2027 through 31 December 2036. **We expect the policy to improve made-in-Korea production economics and help Korean battery makers ramp up domestic plant utilization** and win Korean battery/solar market share (historically mostly imported from China). As shown in Figure 2, we estimate that LGES has scope to ramp up 10-15 Gwh of production, SK Inno 15-20 Gwh and SDI 13-14 Gwh, representing 5%, 45% and 15% of JPMe 2027 shipments, respectively. **We continue to prefer battery cell > battery materials in Korea.** We expect the policy to benefit Korean **battery cell > solar > wind/nuclear > battery materials**, with the impact on AI robots too early to quantify.

- **About Korea’s domestic production credit policy:** Korea’s Ministry of Economy and Finance (MOEF) unveiled the 2026 tax reform plan on 3 August, introducing a new domestic production tax credit for six strategic sectors: semiconductors, solar, wind, secondary batteries, core materials and AI robot components. Similar in structure to the US Section 45X Advanced Manufacturing Production Credit (AMPC), the credit is calculated by multiplying production volume by a per-unit credit (to be set/announced in Feb-27). The annual credit will be limited to the lesser of: (1) 50% of annual production costs; or (2) 50% of the cumulative capex for the production facility, minus any domestic production tax credits previously claimed.
- **How to qualify, and which products qualify:** Eligibility requires both: (1) domestic production – core processes carried out in Korea and a certain % of production costs incurred domestically; and (2) domestic sales – product sold within Korea in the year of production or the following year. Similar to the US version, the Korea AMPC will take effect for 10 years with a three-year phase-out period toward the end (i.e., 100% credit in 2027-33, stepping down to 75%/50%/25% in 2034/35/36 before expiring). MOEF identified three criteria for selecting qualified products: (1) strategic importance in terms of green transition and economic security; (2) currently uneconomic, but with a technology-development and market outlook that supports maintaining/developing competitiveness; and (3) a weak domestic production base due to challenges with high production costs.
- **Key differences vs. US IRA/One Big Beautiful Bill:** (1) **No direct pay option:** Unlike the US IRA, the Korea tax credits can be used only as a corporate income tax offset (no direct pay option) and have no transferability clause. However, they can be carried forward for up to 10 years. (2) **Annual credit capped** at the lesser of: (a) 50% of annual production costs - we think this might imply more \$/kwh subsidy for NCM battery than LFP battery; or (b) 50% of the cumulative capex for fixed assets directly used to produce the qualified product, minus any domestic production tax credits previously claimed. (3) **a 1.1-1.5x regional multiplier** for production outside Seoul is available. (4) **The definition of “core materials”** and products within scope have not been finalized and might be wider than in the US IRA/OBBB.

Head of Asia Energy & Chemicals | Asia EV Battery

Parsley Ong ^{AC}

(65) 6882-8578
parsley.rh.ong@jpmorgan.com
J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Sonny Lee ^{AC}

(82-2) 758 5716
sonny.lee@jpmorgan.com
J.P. Morgan Securities (Far East) Limited, Seoul
Branch

Michelle Wong

(852) 2800 8556
michelle.wong@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Vicky Hsia

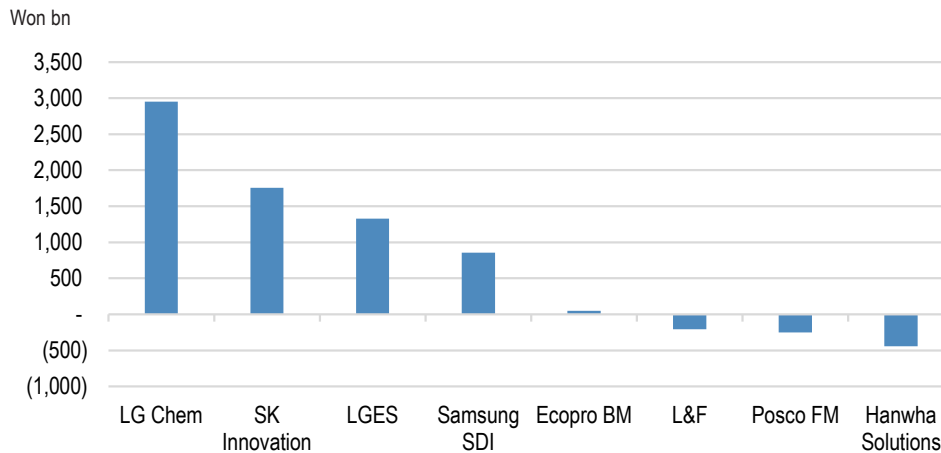
(852) 2800 3752
vicky.hsia@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Seri Yoon

(82-2) 758 5704
seri.yoon@jpmorgan.com
J.P. Morgan Securities (Far East) Limited, Seoul
Branch

- **1.1-1.5x regional multiplier for production outside Seoul:** Production outside the Seoul metropolitan area will enjoy more credits, with up to 1.5x more credits for select non-metropolitan areas. Detailed designations of regional multipliers will be prescribed in the implementation decree, taking into account factors such as population levels and economic/social conditions. We note that domestic battery and materials plants are all located outside of Seoul, generally in non-metropolitan areas, and might benefit from the regional multiplier.
- **Additional positives for SK Innovation? Tax credits for SMR technology:** The tax reform plan also includes tax credits for SMRs and micro modular reactors (MMRs) technologies, amounting to 30-50% of R&D expenses and 15-30% of facility investments. We view this as a small potential positive for SK Innovation, which is analyzing the feasibility of deploying Natrium SMR technology in Korea in collaboration with Korea Hydro & Hydro Power ([note](#)).
- **Koreans might regain domestic ESS/solar market share:** Post-escalation in the Middle East, the Korean government brought forward its wind+solar target of 100GW from 2035 to 2030 (see [note](#)). It also targets 8.4GW/18.4GW AIDC in Korea by 2029/35 ([link](#)). We estimate that Korean battery makers are using less than 60% of their 53Gwh domestic battery cell capacity, with the majority currently targeted for export markets. If Korea production economics were to turn favorable, and assuming they win orders (see Figure 3 for Korea ESS tender status), we estimate that LGES has scope to ramp up 10-15 Gwh of production, SK Inno 15-20 Gwh and SDI 13-14 Gwh, representing 5%, 45% and 15% of JPMe 2027 shipments, respectively.
- **Impact on battery materials:** Cathode/anode names should, in principle, benefit, as their manufacturing bases are largely in Korea, particularly outside the Seoul metropolitan area. With ~20% effective tax rates and a high share of production costs in the cost base, the measure could theoretically imply ~20% upside to our current net profit estimates. However, tax incentives translate into earnings only if the underlying businesses generate meaningful taxable profits. Given our view that cathode economics will likely remain thin amid intense competition, the near-term benefit may be limited.
- **Impact on K-solar:** HD Hyundai Energy Solutions is the #1 residential solar supplier in Korea, reporting 26.6% domestic module market share and 55.9% inverter market share as of 2025. The company's ~1.2 GW solar module plant in Eumseong mostly supplies the residential segment, while the majority of the utility-segment module production is outsourced to China ODMs. Local media [estimate](#) that the share of made-in-Korea modules/cells in the domestic solar market was 20.7%/3.9% in 2025 (down from 66%/35.1% in 2021), while the market share of Chinese modules/cells was 69.3%/96.1% in 2025 (up from 34%/63% in 2021). Hanwha Solutions has a much larger solar cell/module capacity of 5.3/2.8 GW, but it is currently geared mostly toward US exports. We see potential for companies to reshore production from China if the amount of tax credits is sufficient to reduce the cost gap vs. China.
- **Impact on AI robots/wind:** Wind turbine supply chain names (e.g., Doosan Enerbility) could benefit, as eligible production costs may translate into tax credits. Robotics remains too early-stage to quantify, but actuator businesses could also benefit if and when they turn sustainably profitable.
- **Key dates:** Cabinet review and assembly submission in early Sep-26, enforcement decree (credit amount and other implementation details) in Feb-27.

Figure 1: 2021-1H26 cumulative income tax expense (benefit) of Korean battery and solar companies



Source: Company data. Note: Korea's domestic production tax credits are used to offset Korea income tax, which likely accounted for the majority of the consolidated tax expense. 2021-1Q26 data for L&F.

Figure 2: Korea battery and cathode/anode makers' domestic capacity mix

Korea capacity						Korea % Company total capacity				
Location		2025	2026	2027	2028	2025	2026	2027	2028	Comment
Battery cell (Gwh)										
LGES	Ochang cylindrical	10	20	20	20	5%	7%	6%	5%	Mid-high utilization
	Ochang pouch	6	6	6	6					Underutilized
SK On	Seosan pouch	7	7	14	21	6%	4%	7%	9%	Underutilized
SDI	Ulsan prismatic	10	10	10	10					High utilization, exports to US
SDI	Cheonan Cylindrical	10	10	10	10	18%	17%	13%	13%	Mid-high utilization, fixed for US exports
Total		43	53	60	67					
Cathode material (ktpa)										
LGC	Ochang	~100				67%	55% - low-60s%			
L&F	Daegu	220	250	280	280	100%	100%	100%	100%	
Posco FM	Pohang/Gwangyang	150	175	200	225	86%	83%	82%	80%	
Ecopro BM	Ochang/Pohang	190	190	210	230	100%	91%	92%	93%	
Anode material (ktpa)										
Posco FM	Sejong/Pohang	82	82	82	82	100%	100%	100%	75%	

Source: Company data, J.P. Morgan estimates.

Figure 3: Korea ESS tender result summary

Round	Tender announce date	Result announce/news date	Contract volume	Installation deadline	Results		
					Samsung SDI	LGES	SK On
#1	5/22/2025	7/25/2025 (targeted for mid-Jul)	540MW/3,240MWh (6hr duration)	Dec-26	2,574MWh (79%); NCA battery ESS for 6 of 8 tendered facilities	666MWh (21%); LFP battery for Gwangyang/Jeju facility	n/a
#2	11/27/2025	2/12/2026 (targeted for mid-Feb)	540MW/3,240MWh (6 hr duration)	Dec-27	1212MWh (35.7%)	1212MWh (35.7%); one out of 7 sites captured	1,704 MWh (53%); LFP battery for three selected facility across South Jeolla/Jeju
AI-based ESS construction support project		7/10/2026	128MW/640MWh (5hr duration)	Dec-29	420MWh (66.1%); 21 of 32 distribution lines captured	140MWh (21.8%)	80MWh (12.5%)
#3	Set for September						
Combined tender volume (GWh)			7.12		4.2	2.0	1.8
Korea Government FYP ESS installation target by 2035			25				

Source: Media reports, Korea Power Exchange, J.P. Morgan Asia Energy Research.

Figure 4: Credit amount and covered products for US section 45X AMPC

Advanced manufacturing production credits (Section 45X)		
Item	Credit amount	Notes
Solar		
Thin-film or crystalline PV cell	\$0.04/W	
PV wafers	\$12/m ²	Translates to \$0.05-0.06/W
Polysilicon (solar-grade)	\$3/kg	Translates to ~\$0.01/W
Polymeric backsheet	\$0.4/m ²	
Solar module	\$0.07/W	
Central inverter	\$0.0025/W	
Utility inverter	\$0.015/W	
Residential inverter	\$0.065/W	
Commercial inverter	\$0.02/W	
Microinverter	\$0.11/W	
Torque tube	\$0.87/kg	
Structural fastener	\$2.28/kg	
Battery		
Battery cell	\$35/kWh	Min 100Wh/L energy density, min. 20Wh capacity.
Battery module	\$10/kWh	Min. 7kWh capacity.
Electrode active material*	10% of production cost	
Critical minerals	10% of production cost	e.g., Nickel sulfate, cobalt sulfate, lithium carbonate/hydroxide, aluminum (purified), graphite (battery-grade). Iron and phosphate not included.
Offshore wind		
Components	10% of sales price of final offshore wind vessel	
Offshore wind fixed platform	\$0.02/W	
Offshore wind floating platform	\$0.04/W	
Onshore wind		
Blade	\$0.02/W	
Nacelle	\$0.05/W	
Tower	\$0.03/W	

***Note: "Electrode active material"** refers to cathode materials, anode materials, anode foils, and electrochemically active materials, including solvents, additives, and electrolyte salts that contribute to the electrochemical processes necessary for energy storage.

Source: US Inflation Reduction Act, J.P. Morgan Asia Energy Research.

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